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VM Backup Billing Options

Cyber Resilience: three approaches for adding Azure VM backup to the Files & Blobs offering

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Adding VMs to a Storage-Based Offering

1

Today: Files & Blobs

- Live in production, billed per GB of storage
- Usage aggregated into one Salesforce product code
- Customer contracts the “Additional Storage” SKU

2

New: Azure VM backup

- Billed per VM, each with a storage entitlement (e.g., 500 GB)
- Three types: TBR 1 year, TBR 7 years, Infinite Cloud Retention
- Product wants any VM type usable for flexibility

3

Billing model: CMQ

- Commit 1,000 GB, use 1,200 GB → 200 GB overage at contracted rate
- VM data above its entitlement is billed at the Additional Storage rate
- Applies to TBR1, TBR7 and ICR alike

THE CHALLENGE

How do we contract and bill per-VM services, with storage entitlements and CMQ overage, while letting customers use any VM type and protecting revenue?

Three Ways to Contract and Bill VM Backup

OPTION 1

Full bundle

CONTRACT LINES

- Add'l Storage
- VM TBR1
- VM TBR7
- VM ICR

CUSTOMER ACCESS

All VM types, each at its own contracted rate and quantity

BILLING

All four SKUs are on the contract from day one, so CMQ applies to every type

OPTION 2

One VM SKU, open access

CONTRACT LINES

- Add'l Storage
- VM TBR1

CUSTOMER ACCESS

Every entity and every VM type (TBR1, TBR7, ICR) is enabled

BILLING

All storage of a non-contracted VM type is billed at the Additional Storage rate; CMQ applies only to the contracted VM type

OPTION 3

One VM SKU, gated access

CONTRACT LINES

- Add'l Storage
- VM TBR1

CUSTOMER ACCESS

Only the contracted VM type; others are locked in the UI

BILLING

A prompt sends the customer to the Store or their AM to buy other types before using them

Advantages and Disadvantages

Option 1: Full bundle

ADVANTAGES

- ✓ Data consistency: all SKUs on one contract
- ✓ Contracted price ready for any VM type or overage
- ✓ CMQ billing works end to end

DISADVANTAGES

- ✕ Every upsell or downsell means debooking and rebooking all 4 SKUs
- ✕ Hard to explain multiple lines for the same service
- ✕ Unproven model; low AM adoption may reduce sales

Trade-off: Certainty vs. heavy admin

Option 2: Open access

ADVANTAGES

- ✓ Only one VM SKU per contract
- ✓ Easier maintenance and streamlined quoting
- ✓ Full consumption flexibility for customers

DISADVANTAGES

- ✕ Other VM types billed at $0.03/GB, below the VM GB rate, putting revenue at risk
- ✕ No incentive to buy more VM types

Trade-off: Simplicity vs. revenue leakage

Option 3: Gated access

ADVANTAGES

- ✓ All Option 2 simplicity benefits
- ✓ Control over which services each customer can use
- ✓ Encourages purchase of other VM types

DISADVANTAGES

- ✕ Extra purchase step before using other types
- ✕ Kaseya loses the chance to start billing additional usage right away

Trade-off: Control vs. slower billing